



“NCLT cases are an attractive opportunity for ARCs... Some banks or lenders want their money [back] quicker. Since there is a resolution plan or some indication [of pricing], ARCs can acquire these assets from the lenders”

of strategic importance. We aggregated the debt from the lending banks and filed the application with the NCLT, which was admitted within two years because we were the majority lender. The strategic investor provided the resolution plan, and through their NBFC, they became a co-investor with us. The resolution plan was successfully executed in two years. Both of us exited the company. However, if any strategic investor feels that we, as an ARC, should continue with the company, we could reschedule the repayment period depending on realistic cash flow projections.

Q: ARCs have completed two decades of operations. What has been their performance?

A: In terms of SR redemption, ARCs are doing well. The SR redemption rate for banks has increased from around 20%, or even less, to more than 40-45%. ARCs are also performing well overall. With fewer ARCs remaining, they are likely to become a significant force in the stressed asset market.

Q: RBI has been focussed on compliance and corporate governance in banking and financial services. What changes are you seeing in the ARC space?

A: Compliance and corporate governance have become very important for ARCs. The days of lax governance are over. ARCs now face supervision similar to that of any bank in India. According to the October 2022 circular from RBI, there is a strong emphasis on governance, including the constitution of different board committees, the role of the board chairman, and preventing overlapping membership among committees. In terms of business practices, ARCs can no longer take an advance management fee; the fee must come from recoveries. For settlements, banks now require an internal advisory committee with external members to approve and recommend proposals to the board. This ensures transparency and proper governance. ARCs are also focussing on KYC and conducting real-time surveillance. Much of the RBI's supervision and inspections are now conducted off-site. **BT**

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